

Adjusting Accounts for Financial Statements

Chapter 3

Chapter 3 Learning Objectives

CONCEPTUAL

- C1 Explain the importance of periodic reporting and the time period assumption.
- C2 Explain accrual accounting and how it improves financial statements.
- C3 Identify the types of adjustments and their purpose.

ANALYTICAL

- A1 Explain how accounting adjustments link to financial statements.
- A2 Compute the profit margin and describe its use in analyzing company performance.

PROCEDURAL

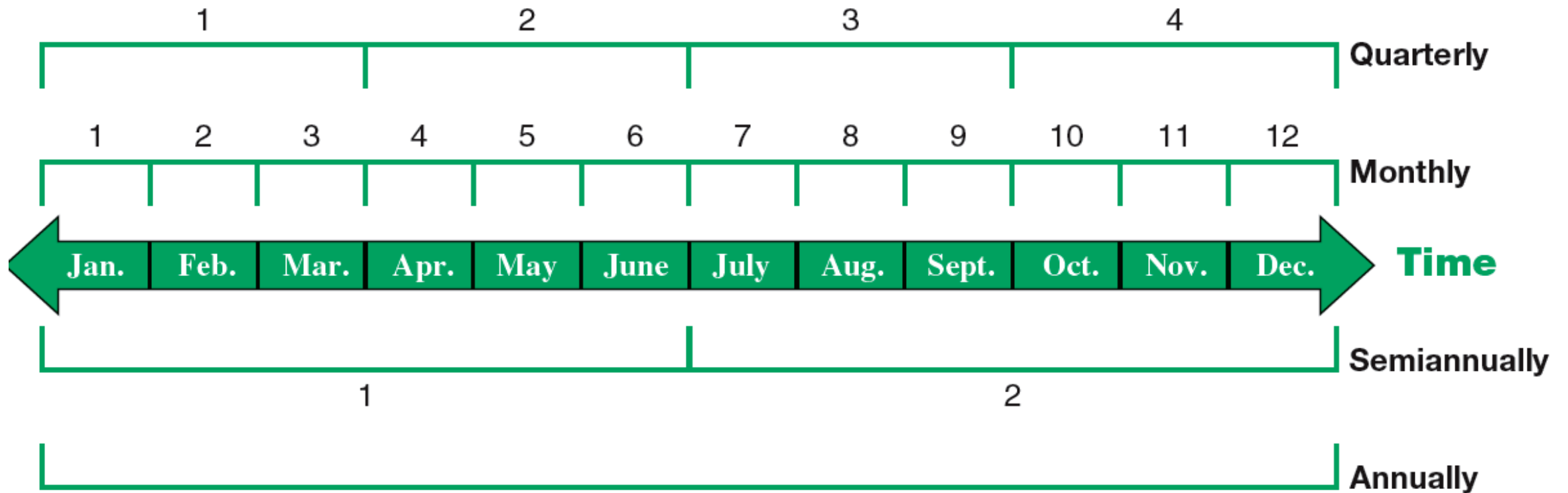
- P1 Prepare and explain adjusting entries.
- P2 Explain and prepare an adjusted trial balance.
- P3 Prepare financial statements from an adjusted trial balance.
- P4 *Appendix 3A* Explain the alternatives in accounting for prepaids.

Learning Objective

C1:

Explain the importance of periodic reporting and the role of accrual accounting.

The Accounting Period



Learning Objective

C2:

Explain accrual accounting and
how it improves financial
statements.

Accrual Basis versus Cash Basis

Accrual Basis

Revenues are recognized when earned and expenses are recognized when incurred.

Cash Basis

Revenues are recognized when cash is received and expenses are recorded when cash is paid.

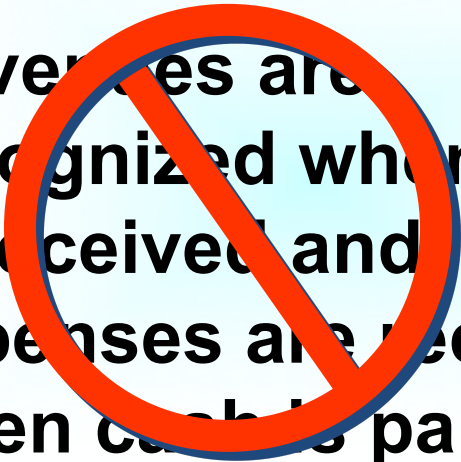
Accrual Basis versus Cash Basis

Accrual Basis

Revenues are recognized when earned and expenses are recognized when incurred.

Cash Basis

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Non-GAAP

Accrual Basis versus Cash Basis

Exhibit
3.2

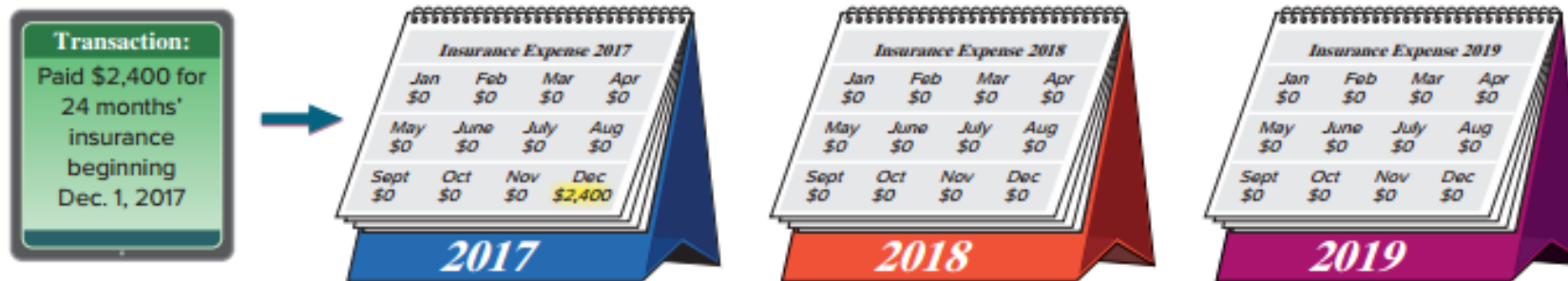


On December 1, 2017, FastForward paid \$2,400 cash for a twenty-four month business insurance policy.

Using the cash basis, the entire \$2,400 would be recognized as insurance expense in 2017. No insurance expense from this policy would be recognized in 2018 or 2019, periods covered by the policy.

Accrual Basis versus Cash Basis

Exhibit
3.3



On the accrual basis, \$100 of insurance expense is recognized in 2017, \$1,200 in 2018, and \$1,100 in 2019. The expense is matched with the periods benefited by the insurance coverage.

Recognizing Revenues

The revenue recognition principle requires that revenue be recorded when goods or services are provided to customers and at an amount expected to be received from customers.

Recognizing Expenses

The expense recognition (or matching) principle aims to record expenses in the same accounting period as the revenues that are earned as a result of those expenses. This matching of expenses with the revenue benefits is a major part of the adjusting process.

Learning Objective

C3:

Identify the types of
adjustments and their
purpose.

Framework for Adjustments

Four types of adjustments for transactions that extend over more than one period.



Adjustments made using a 3-step process:

Step 1: Determine what the current account balance *equals*.

Step 2: Determine what the current account balance *should equal*.

Step 3: Record an adjusting entry to get from step 1 to step 2.

Learning Objective

P1:
Prepare and explain adjusting
entries.

Prepaid (Deferred) Expenses

Prepaid expenses are assets paid for in advance of receiving their benefits.

Examples: Prepaid Insurance, Prepaid Rent, Supplies

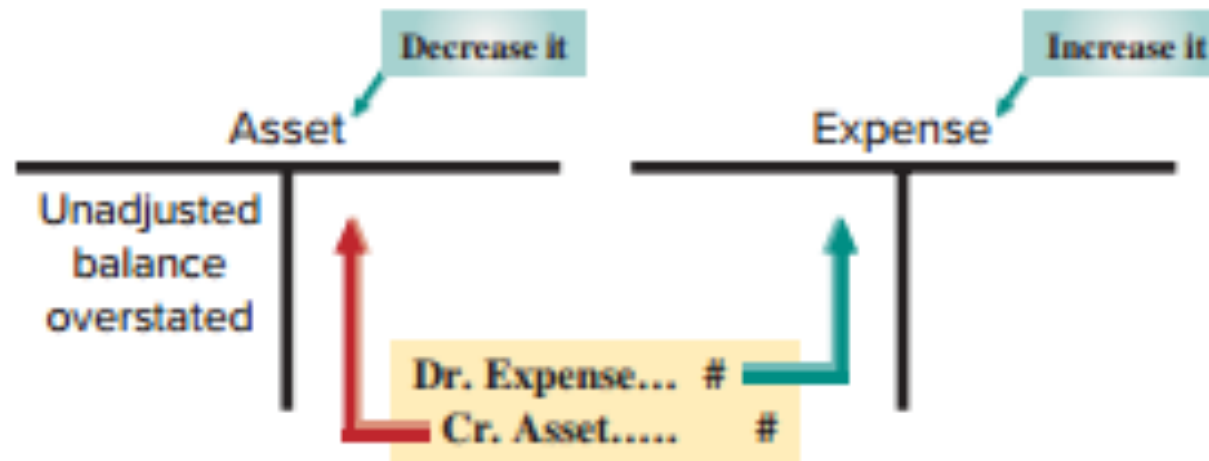
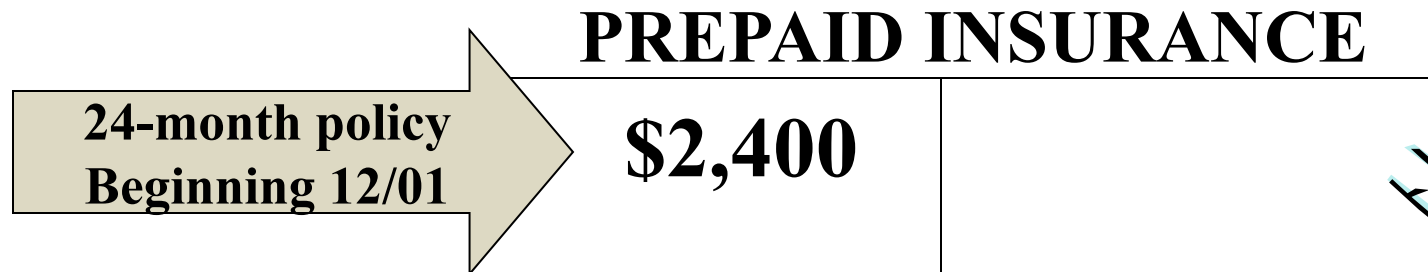


Exhibit
3.5

Prepaid Insurance

On 12/01/2017, FastForward paid \$2,400 to cover insurance for 24 months that began on 12/01/2017.

Recorded as *Prepaid Insurance* on 12/01/17.



Prepaid Insurance

On 12/31, one month's worth of insurance has expired.

Step 1: Current balance = \$2,400

Step 2: Balance in balance in prepaid insurance should equal \$2,300.

Step 3: Current prepaid insurance balance $\$2,400 - 100 = \$2,300$

PREPAID INSURANCE

\$2,400

INSURANCE EXPENSE

\$100

\$100

$\$2,400 / 24 \text{ months} = \100

Insurance Expense is debited
\$100 to recognize the amount
of insurance coverage for Dec. and
Prepaid Insurance is credited for \$100
to reduce it's balance.

Prepaid Insurance

(Balance Sheet)		(Income Statement)	
PREPAID INSURANCE		INSURANCE EXPENSE	
\$2,400		adj \$100	
	\$100 adj		
Bal. \$2,300			

The Balance Sheet will show \$2,300 (23 months) of Prepaid Insurance remaining!

The Income Statement will show \$100 (1 month) of insurance expired!

Adjusting Entry for Expired Insurance

The general journal adjustment on Dec. 31 and general ledger account balances are as follows:

Prepaid Insurance		128
Dec. 1	2,400	Dec. 31 100
Bal.	2,300	

Insurance Expense		637
Dec. 31	100	

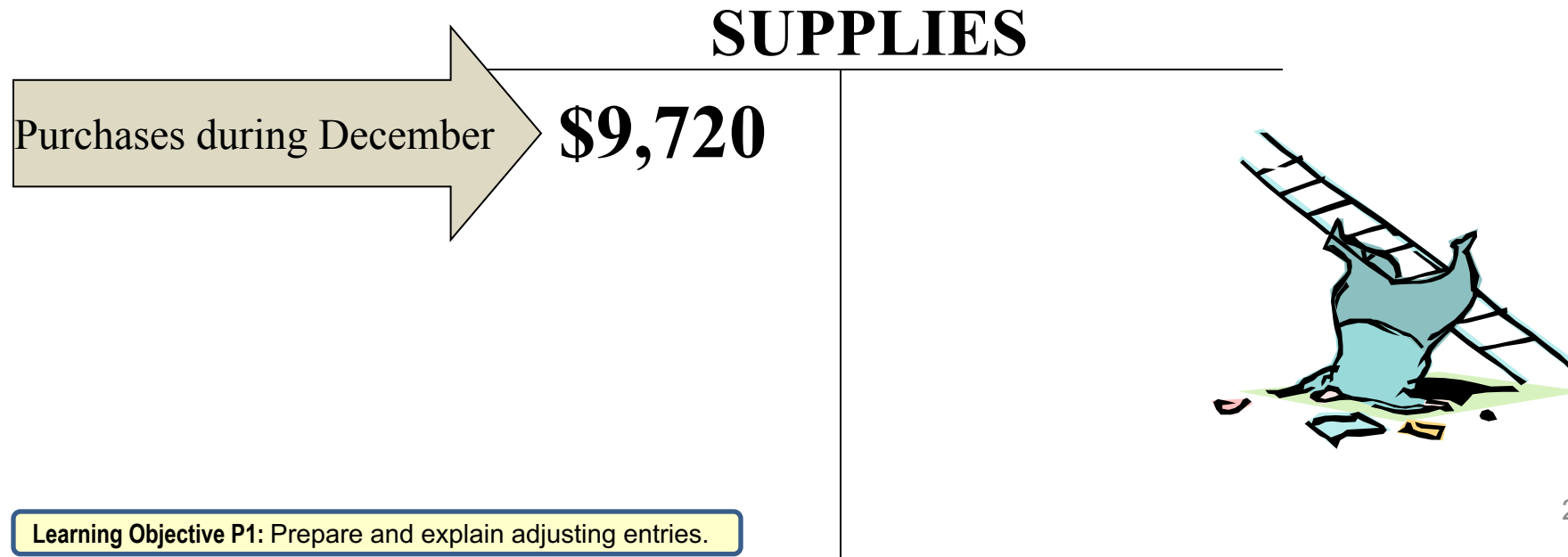
Dec. 31	Insurance Expense	100	
	Prepaid Insurance		100
	<i>To record first month's expired insurance</i>		

Supplies

Step 1: FastForward purchased \$9,720 of supplies in December.
Some of these were used during December.

Step 2: A physical count shows that unused supplies equal \$8,670.

Step 3: Adjusting entry reduces Supplies by \$1,050 or the difference between the beginning balance and the physical count.



Supplies

(Balance Sheet)

SUPPLIES

\$9,720

\$1,050 adj

Bal. **\$8,670**

The Balance Sheet will show \$8,670 of supplies remaining!

(Income Statement)

SUPPLIES EXPENSE

adj \$1,050

The Income Statement will show \$1,050 (1 month) of Supplies expired!

Adjusting Entry for Expired Supplies

We've seen the adjustment in the T-accounts but we need to record the adjustment on Dec. 31, in the *General Journal*

Supplies		126
Dec.	9,720	Dec. 31 1,050
Bal.	8,670	

Supplies Expense		652
Dec. 31	1,050	

Dec. 31	Supplies Expense	1,050	
	Supplies		1,050
	<i>To record supplies used</i>		

Depreciation

Instead of expensing the cost of a plant asset (equipment, building, cars, etc.) in the year it is purchased we allocate or spread out the cost over their expected useful lives.

The formula for *straight-line* depreciation is:

$$\text{Straight-Line Depreciation Expense} = \frac{\text{Asset Cost} - \text{Salvage Value}}{\text{Useful Life}}$$



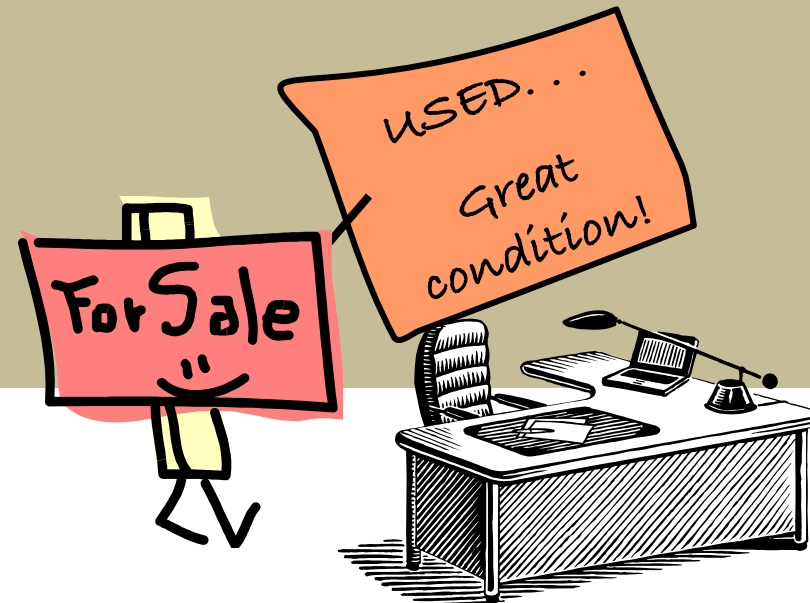
Useful Life

- The period of time that an asset is expected to help produce revenues.
- Useful life expires as a result of wear and tear, or because it no longer satisfies the needs of the business.



Salvage Value

- The expected market value or selling price of an asset at the end of its useful life
- Also called:
 - Scrap Value or
 - Residual Value



Straight-line Method

Formula to compute net cost (amount to depreciate):

$$\begin{array}{rcccl} \text{Original} & & \text{Salvage} & & \\ \text{Cost} & - & \text{Value} & = & \text{Net Cost} \\ \$26,000 & - & \$8,000 & = & \$18,000 \end{array}$$

Depreciation Expense

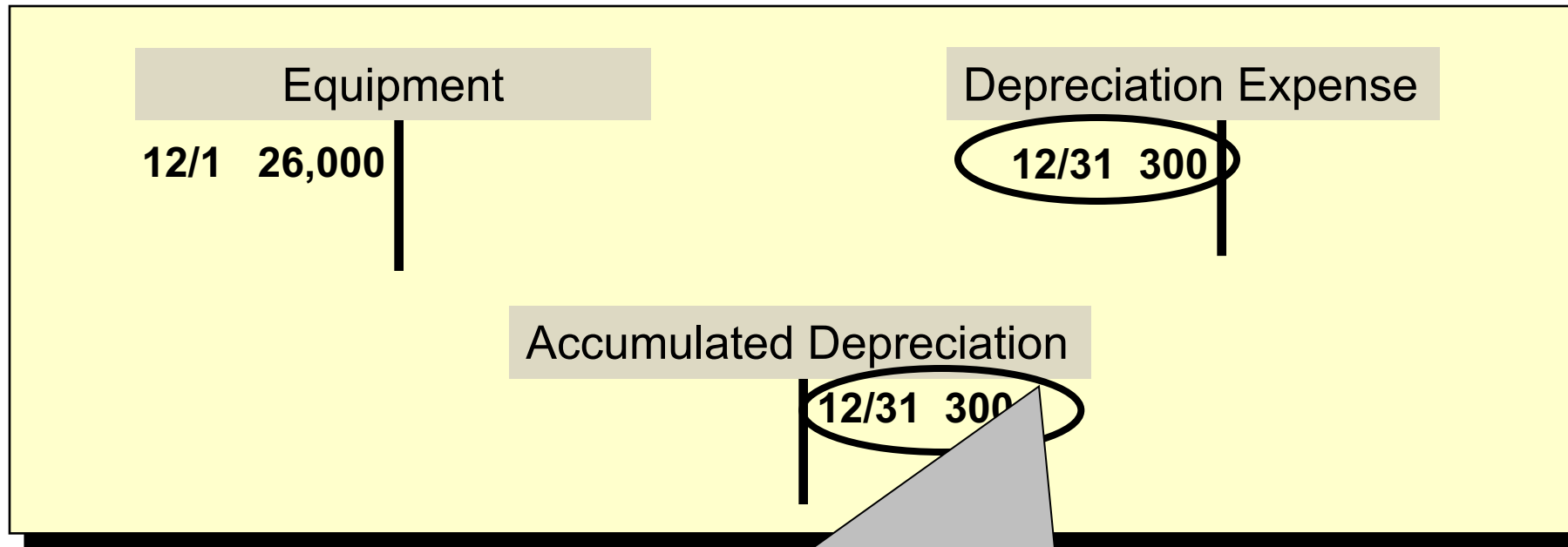
Step 1: FastForward purchased equipment on Dec 1 for \$26,000.

Step 2: Equipment has an useful live of 5 years. The equipment is expected to be worth \$8,000 at the end of five years. FastForward using straight-line depreciation. \$18,000 (\$26,000 – 8,000) of the cost needs to be spread over the next 60 months.

One month = $\$18,000 / 60 = \300 .

Step 3: Record adjusting entry for \$300 for one month.

Depreciation adjustment in T-accounts



The depreciation amount of \$300 is credited to the accumulated depreciation account instead of the asset, Equipment.

Adjusting Entry for Depreciation

Step 3: Record adjusting entry for \$300 for one month.

Equipment		Depreciation Expense	
12/1	26,000	12/31	300
		Accumulated Depreciation-Equipment	
		12/31	300

Dec. 31	Depreciation Expense	300	
	Accumulated Depreciation - Equipment		300
<i>To record monthly equipment depreciation</i>			

Depreciation on Balance Sheet

Exhibit
3.7

Depreciation would show up on our balance sheet like this:

FastForward Partial Balance Sheet At February 28, 2018		
Assets		
Cash		\$
·		
Equipment	\$ 26,000	
Less: accumulated deprec.	(900)	25,100
·		
·		
Total Assets		

After three month's of depreciation have been taken, the Equipment is shown net of accumulated depreciation.

Unearned (Deferred) Revenues

Cash received in advance of providing products or services.

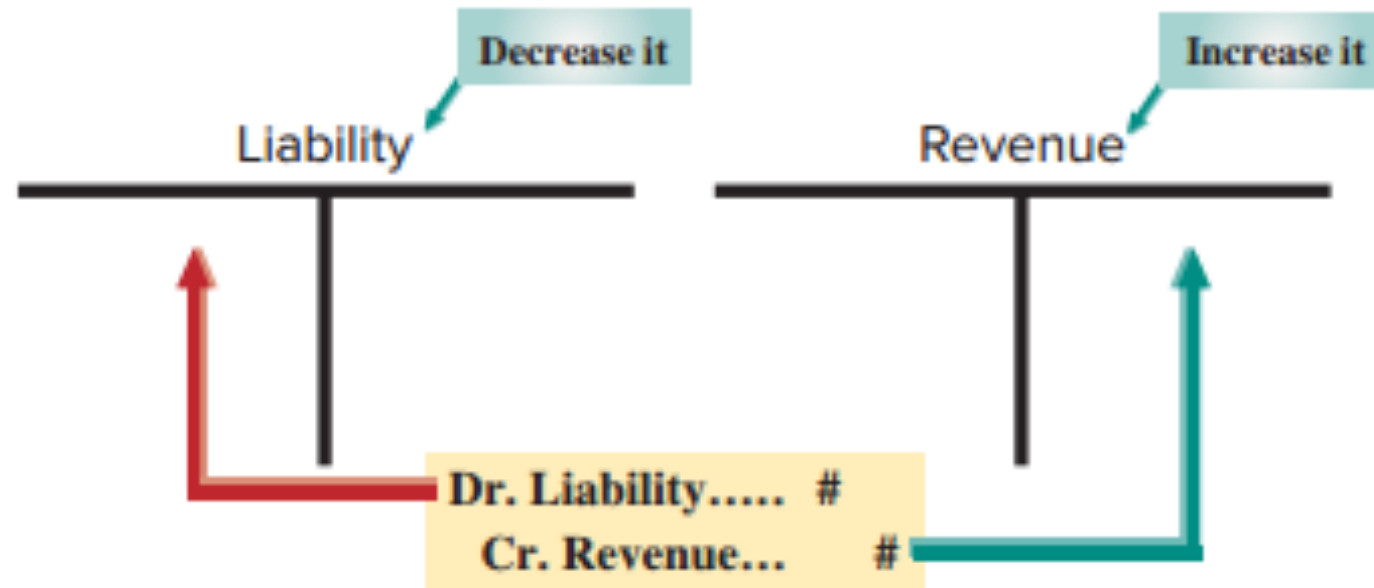


Exhibit
3.8

Unearned (Deferred) Revenues

Step 1: FastForward's client paid 60-day fee in advance covering the period from 12/27 – 2/24 and recorded:

Dec. 26	Cash	3,000	
	Unearned Consulting Revenue		3,000
	<i>Received advance payment for services</i>		

Step 2: FastForwards earns payment as time passes. At 12/31, 5 days' service is earned or $5/60 \times \$3,000 = \250 .

Step 3: Adjusting entry reduces liability, Unearned Consulting Revenue, by \$250 or 5 days' worth of revenue. Also, Consulting Revenue of \$250 is earned.

Unearned (Deferred) Revenue

(Balance Sheet)

UNEARNED CONSULTING REVENUE

	\$3,000
adj \$250	
	\$2,750 Bal.

The Balance Sheet will show \$2,750 of Unearned Consulting Revenue unearned.

(Income Statement)

CONSULTING REVENUE

	\$5,800
	250
	\$6,050 Bal.

The Income Statement will show \$6,050 total Consulting Revenue earned.

Adjusting Entry for Unearned Revenue

Adjusting entry recorded on Dec. 31 to transfer \$250 from unearned to earned consulting revenue.

Dec. 31	Unearned Consulting Revenue	250	
	Consulting Revenue		250
	<i>To record earned revenue received in advance</i>		

Accrued Expenses

Costs incurred in a period that are both unpaid and unrecorded.

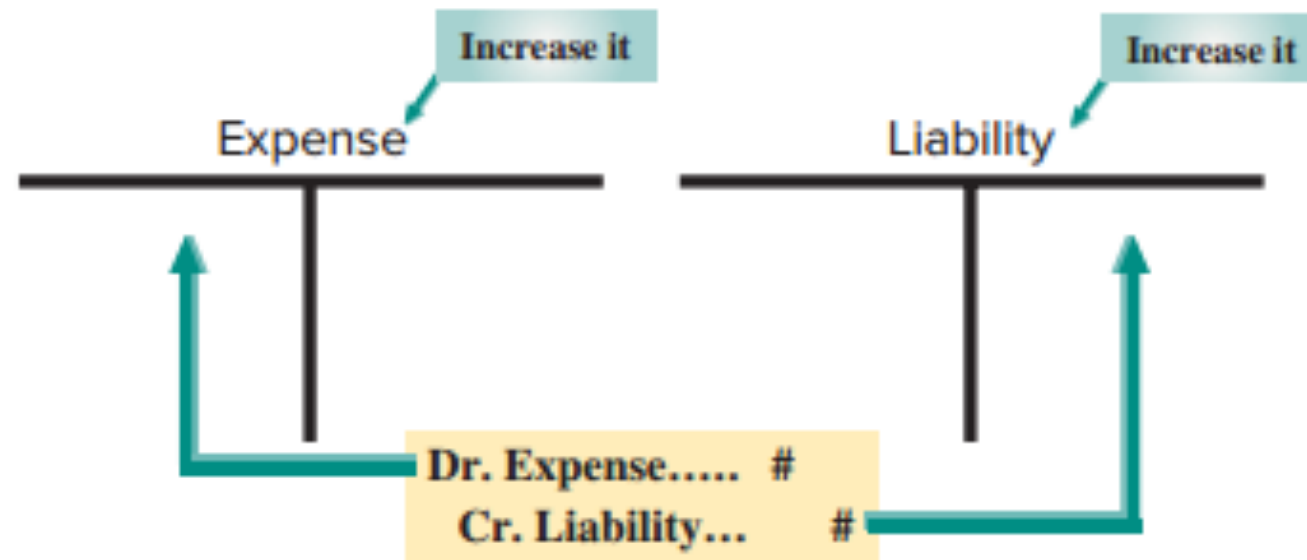


Exhibit
3.9

Accrued Salaries Expense

Step 1: FastForward's pays its employee \$70 per day, or \$350 for a five-day work. Salaries are paid every two weeks on a Friday.

Step 2: 12/31 is a Wednesday, so three day's salaries are owed at year end which equals $\$70 \times 3 = \210 .

Step 3: Adjusting entry increases a liability, Salaries Payable, and increases the Salaries Expense account for \$210 with the following journal entry:

Dec. 31	Salaries Expense	210	
	Salaries Payable		210
	<i>To record three days' accrued salaries</i>		

Accrued Salaries Expense

(Balance Sheet)

SALARIES PAYABLE

	\$210 adj
	\$210 Bal.

The Balance Sheet will show \$210 of Salaries Payable owed.

(Income Statement)

SALARIES EXPENSE

\$1,400	
adj 210	
Bal. \$1,610	

The Income Statement will show \$1,610 total Salaries Expense.

Future Payment of Accrued Expenses

Accrued expenses at the end of one period result in a cash payment in a future period.

On 12/31, FastForward recorded accrued salaries of \$210.

On 1/9 of the next year, the following entry will reduce the accrued liability, salaries payable, and record the expense for 7 days work in January.

Jan 9	Salaries Payable (3 x \$70)	210	
	Salaries Expense (7 x \$70)	490	
	Cash		700
	<i>To record earned revenue received in advance</i>		

Accrued Revenues

Accrued revenues are revenues earned in a period that are both unrecorded and not yet received in cash or other assets.

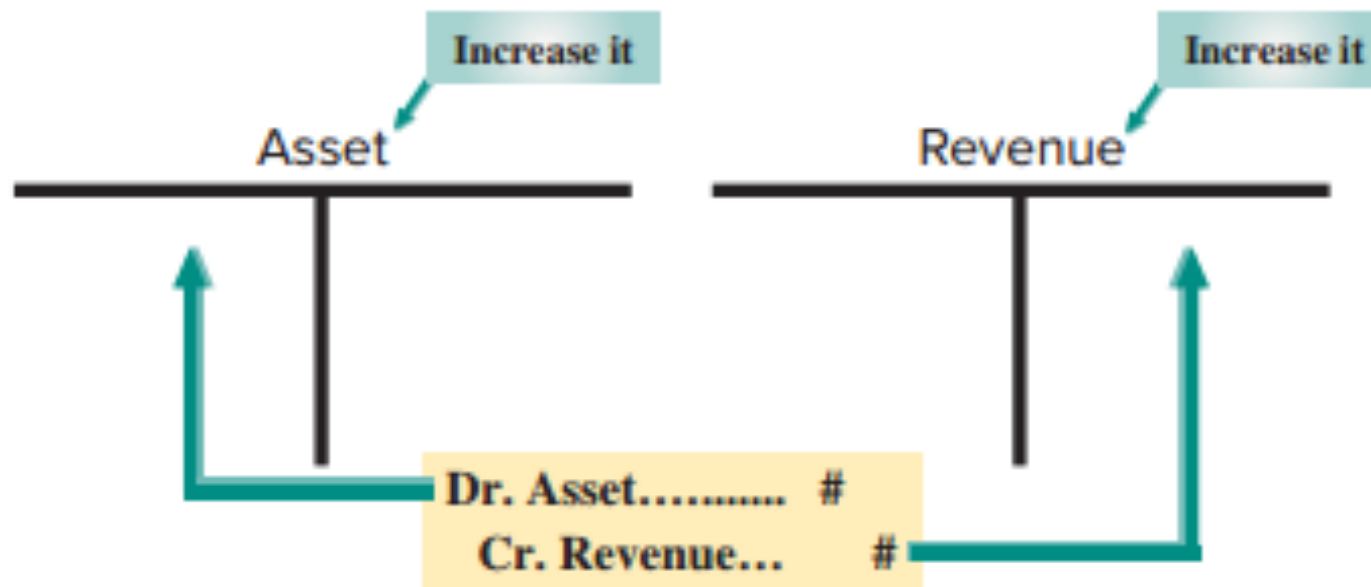


Exhibit
3.11

Accrued Services Revenue

Step 1: On 12/12, FastForward's customer agreed to pay \$2,700 on 1/10 of the next year for future services over the next 30 days.

Step 2: 12/31, 20 days worth of services have been provided and earned which totals \$1,800 ($\$2,700 \times 20/30$ days).

Step 3: Adjusting entry increases an asset, Accounts Receivable, and increases the Consulting Revenue account for \$1,800 with the following journal entry:

Dec. 31	Accounts Receivable	1,800	
	Consulting Revenue		1,800
	<i>To record 20 days' accrued revenue.</i>		

Accrued Services Revenue

(Balance Sheet)

ACCOUNTS RECEIVABLE

adj	\$1,800	
Bal.	\$1,800	

The Balance Sheet will show
\$1,800 of Accounts Receivable.

(Income Statement)

CONSULTING REVENUE

	\$6,050
	1,800 adj
	\$7,850 Bal.

The Income Statement will
show \$7,850 total
Consulting Revenue

Future Receipt of Accrued Revenues

Accrued revenue at the end of one period results in a cash receipt in a future period.

On 12/31, FastForward recorded accrued revenue earned of \$1,800.

On 1/10 of the next year, the following entry will reduce the accounts receivable, record revenue earned for 10 days and receipt of \$2,700 cash.

Jan 10	Cash	2,700	
	Accounts Receivable (20 days)	1,800	
	Consulting Revenue (10 days)	900	
	<i>To record earned revenue received in advance</i>		

Learning Objective

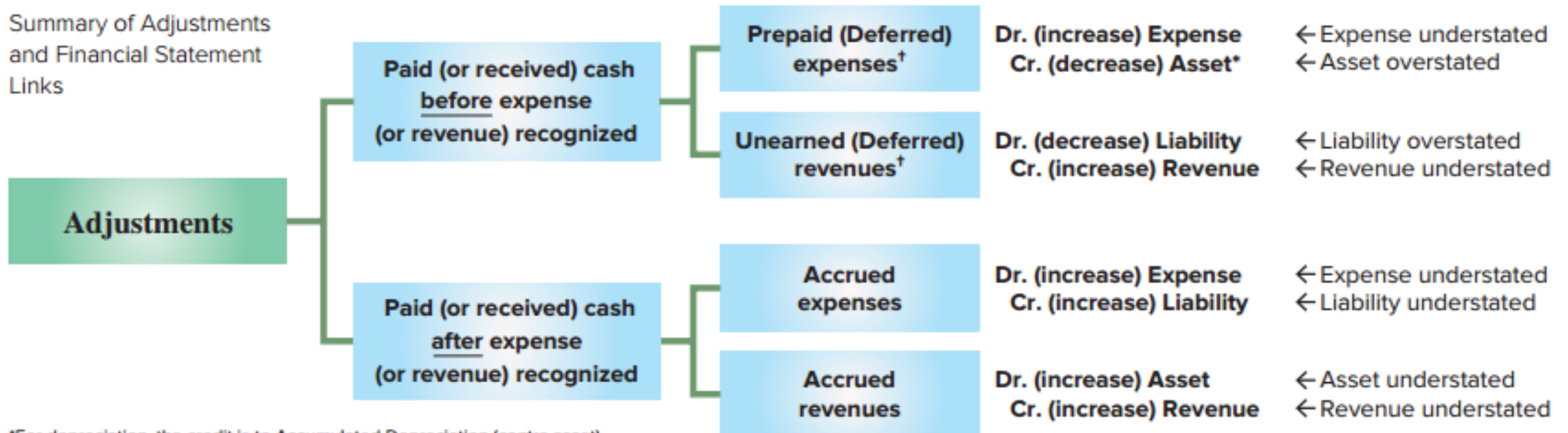
A1:

Explain how accounting adjustments link to financial statements.

Links to Financial Statements

EXHIBIT 3.12

Summary of Adjustments
and Financial Statement
Links



*For depreciation, the credit is to Accumulated Depreciation (contra asset).

†Exhibit assumes that prepaid expenses are initially recorded as assets and that unearned revenues are initially recorded as liabilities.

Learning Objective

P2:

Explain and prepare an
adjusted trial balance.

Adjusted Trial Balance

Exhibit
3.13

FASTFORWARD Trial Balances December 31, 2017							
		Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
		Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Acct. No.	Account Title						
101	Cash	\$ 4,275				\$ 4,275	
106	Accounts receivable	0		(f) \$1,800		1,800	
126	Supplies	9,720			(b) \$1,050	8,670	
128	Prepaid insurance	2,400			(a) 100	2,300	
167	Equipment	26,000				26,000	
168	Accumulated depreciation—Equip.		\$ 0		(c) 300		\$ 300
201	Accounts payable		6,200				6,200
209	Salaries payable		0		(e) 210		210
236	Unearned consulting revenue		3,000	(d) 250			2,750
301	C. Taylor, Capital		30,000				30,000
302	C. Taylor, Withdrawals	200				200	
403	Consulting revenue		5,800		(d) 250 (f) 1,800		7,850
406	Rental revenue		300				300
612	Depreciation expense—Equip.	0		(c) 300		300	
622	Salaries expense	1,400		(e) 210		1,610	
637	Insurance expense	0		(a) 100		100	
640	Rent expense	1,000				1,000	
652	Supplies expense	0		(b) 1,050		1,050	
690	Utilities expense	305				305	
	Totals	\$45,300	\$45,300	\$3,710	\$3,710	\$47,610	\$47,610

Learning Objective

P3:

Prepare financial statements
from an adjusted trial balance.

Preparing Financial Statements from an Adjusted Trial Balance

- Step 1— Prepare income statement using revenue and expense accounts from trial balance.**
- Step 2—Prepare statement of owner's equity using capital and withdrawals accounts from trial balance; and pull net income from step 1.**
- Step 3—Prepare balance sheet using asset and liability account from trial balance; and pull updated capital balance.**
- Step 4—Prepare statement of cash flows from changes in cash flows for the period (illustrated later in the book).**

Learning Objective

A2:

Compute profit margin and describe its use in analyzing company performance.

Profit Margin

Exhibit
3.16

The profit margin ratio measures the company's net income to net sales.

$$\text{Profit Margin} = \frac{\text{Net Income}}{\text{Net Sales}}$$

Limited Brands, Inc.

\$ millions	2015	2014	2013	2012	2011
Net income	\$ 1,042	\$ 903	\$ 753	\$ 850	\$ 805
Net sales	\$11,454	\$10,773	\$10,459	\$10,364	\$9,613
Profit margin	9.1%	8.4%	7.2%	8.2%	8.4%
Industry profit margin	2.8%	2.5%	2.0%	2.2%	2.1%

Learning Objective

P4: Appendix 3A
Explain the alternatives in
accounting for prepaids.

Appendix 3A: Alternative Accounting for Prepayments

An alternative method is to record all prepaid expenses with debits to expense accounts.

		Payment Recorded as Asset	Payment Recorded as Expense
Dec. 1	Prepaid Insurance	2,400	
	Cash	2,400	
Dec. 1	Insurance Expense		2,400
	Cash		2,400

The adjusting entry depends on how the original payment was recorded.

		Payment Recorded as Asset	Payment Recorded as Expense
Dec. 31	Insurance Expense	100	
	Prepaid Insurance	100	
Dec. 31	Prepaid Insurance		2,300
	Insurance Expense		2,300

Appendix 3A: Alternative Accounting for Prepayments

Exhibit
3A.3

Payment Recorded as Asset

Prepaid Insurance		128
Dec. 1	2,400	Dec. 31 100
Balance	2,300	

Insurance Expense		637
Dec. 31	100	

Payment Recorded as Expense

Prepaid Insurance		128
Dec. 31	2,300	

Insurance Expense		637
Dec. 1	2,400	Dec. 31 2,300
Balance	100	

Appendix 3A: Alternative Accounting for Revenues

An alternative method is to record all revenues to a liability account or a revenue account.

		Receipt Recorded as Liability	Receipt Recorded as Revenue
Dec. 26	Cash	3,000	
	Unearned Consulting Revenue		3,000
Dec. 26	Cash		3,000
	Consulting Revenue		3,000

The adjusting entry depends on how the original receipt was recorded.

		Receipt Recorded as Liability	Receipt Recorded as Revenue
Dec. 31	Unearned Consulting Revenue	250	
	Consulting Revenue		250
Dec. 31	Consulting Revenue		2,750
	Unearned Consulting Revenue		2,750

Appendix 3A: Alternative Accounting for Revenues

Exhibit
3A.6

Receipt Recorded as Liability

Unearned Consulting Revenue		236
Dec. 31	250	Dec. 26 3,000
		Balance 2,750

Consulting Revenue		403
	Dec. 31	250

Receipt Recorded as Revenue

Unearned Consulting Revenue		236
	Dec. 31	2,750

Consulting Revenue		403
Dec. 31	2,750	Dec. 26 3,000
		Balance 250

End of Chapter 3